Firm Pay, Amenities, and Inequality*

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Abstract

We use discrete choice experiments embedded in a large-scale survey of German workers to estimate the value of non-wage amenities provided by thousands of German firms. By randomizing wages across hypothetical job offers from firms that respondents identify as likely application targets, we recover money-metric valuations for the set of marginal workers. Valuations vary widely across firms and are only weakly correlated with wages. High-amenity firms are larger, have lower quit rates, and are rated more favorably on dimensions like flexibility and culture. Amenity preferences differ sharply by gender and education and many job-to-job transitions involve wage losses offset by gains in amenities. Variance decompositions show that amenities explain more between-firm inequality in job value than wages do.

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